

Q1 2024 Earnings Call

Company Participants

- Gary Millerchip, Senior Vice President and Chief Financial Officer
- Rob Quast, Director, Investor Relations
- Rodney McMullen, Chairman and Chief Executive Officer

Other Participants

- Chuck Cerankosky, Analyst, Northcoast Research
- Ed Kelly, Analyst, Wells Fargo
- John Heinbockel, Analyst, Guggenheim Partners
- Kelly Bania, Analyst, BMO Capital Markets
- Kenneth Goldman, Analyst, J.P. Morgan
- Michael Lasser, Analyst, UBS
- Robert Ohmes, Analyst, Bank of America
- Rupesh Parikh, Analyst, Oppenheimer
- Simeon Gutman, Analyst, Morgan Stanley

Presentation

Operator

Good morning, and welcome to the Kroger Co First Quarter 2023 Earnings Conference Call. (Operator Instructions) Please note, this event is being recorded.

I would now like to turn the conference over to Rob Quast, Senior Director, Investor Relations. Please go ahead.

Rob Quast {[BIO 22384087](#) <GO>}

Good morning. Thank you for joining us for Kroger's first quarter 2023 earnings call. I am joined today by Kroger's Chairman and Chief Executive Officer, Rodney McMullen; and Chief Financial Officer, Gary Millerchip.

Before we begin, I want to remind you that today's discussions will include forward-looking statements. We want to caution you that such statements are predictions and actual events or results can differ materially. A detailed discussion of the many factors that we believe may have a material effect on our business on an ongoing basis is contained in our SEC filings. The Kroger Company assumes no obligation to update that information.

After our prepared remarks, we look forward to taking your questions. In order to cover a broad range of topics from as many of you as we can, we ask that you please limit yourself to one question and one follow-up question if necessary.

I will now turn the call over to Rodney.

Rodney McMullen {[BIO 1431087](#) <GO>}

Thank you, Rob. Good morning, everyone, and thank you for joining us today. We're off to a great start in 2023, with results that reflect the strength of our go-to-market strategy. Kroger is continuing to navigate a challenged environment as our customers manage the effects of high

inflation, fewer SNAP dollars, and micro -- macroeconomic uncertainty. Despite these conditions, customers continue to prioritize their spending on food and our value proposition is resonating.

The investments and productivity improvements we made over recent years has strengthened our business, allowing us to sustainably invest in price for our customers while maintaining margins. By delivering great value and driving strategic initiatives, we are sustaining momentum which gives us the confidence that we will continue delivering on our commitments.

Many of our customer preferences and trends that emerged last year have as expected accelerated into the first quarter. Customers are actively looking for ways to save and we are focused on providing a fresh and affordable shopping experience with zero compromise on quality, selection, or convenience. As we've seen over recent quarters, our customers are saving through loyalty discounts, including weekly specials and yellow tag promotions, engaging in our broad assortment of our brand's products, and redeeming personalized digital coupons and fuel rewards.

During the first quarter, sales made on promotion increased approximately 380 basis points and digital coupon redemptions increased to 180 million. We are delivering more savings opportunities, including working with our suppliers to fund our promotions. Kroger's value proposition offers something for every customer, which I'm pleased to say, led to increased customer trips and our eighth consecutive quarter of household growth. That being said, we continue to see a split and spend across customer segments. The economic environment is more significantly impacting our budget-conscious shoppers, while our mainstream and higher-income shoppers are increasing their spend with us and deepening their loyalty.

We grew mainstream households, which make up the largest segment of our customer base. We also grew our higher-income customer households, as they migrate from specialty retailers to Kroger. These customers are extremely valuable, because they're building larger baskets and spending more per item. We see these customers buying premium or brands lines, more fresh items in larger pack size, as a result, they are more profitable. In contrast, our budget-conscious households are buying fewer items, particularly as SNAP benefits declined during the quarter.

In some cases, we see these households switching to lower-priced products and smaller pack sizes. The least loyal customer in this group are clearly prioritizing the price at shelf over other factors such as personalized offers, convenience, and quality. While no one can predict the macroeconomic outlook with certainty, we expect customers, particularly those on tighter budgets will continue to feel the effects of inflation and higher interest rates.

We have started to see relief as year-over-year inflation levels moderate, particularly in fresh categories. We expect value and quality to remain in focus for the majority of our customers in the months ahead. Our attractive value proposition positions us well for this environment. In fact, our promotional pricing, personalized offers, and fuel savings work together to create an overall value comparable to everyday low-price providers. And those savings come with much more personalized experience.

Along with our great value proposition, we will continue investing and growing our strategic priorities of fresh, Our Brands, personalization, and seamless to create a full fresh and friendly customer experience. As you know, we lead with fresh. Our Fresh for Everyone promise connects strongly with customers and is a key differentiator that drives customers to us. We are constantly innovating by applying data and technology to improve the customer's fresh experience.

A key to winning in fresh is our supply chain. We improved our supply chains efficiency through investments in talent and technology, as well as controlling more movement of products across

our network. As a result, our associates improved our in-stock rates, which drive higher sales. Through our end-to-end fresh initiative, we are streamlining our supply chain to minimize the lapse time from farm to shelf. Combined with our convenient store network, these investments deliver even more days of freshness at home for our customers. Together, these improvements also reduce our expenses, allowing us to invest in price for customers, providing fresher choices and more options.

Turning to Our Brands, Our Brands delivered another solid quarter that led by our namesake Kroger brand, a national brand equivalent. Our Brands are always a winner with our customers. In this period of sustained high inflation, it helps our customers save money without sacrificing quality. While inflation may have been the reason for some customers trying Our Brands products, the taste and quality makes the customer love these products and continue to repurchase them. For customers looking for more convenience, Home Chef plays an important role and continues to innovate and expand offerings to meet growing customer needs. This quarter, Home Chef expanded its menu to bring more healthy choices, premium meals, and new concepts. Our team unveiled its first dedicated family menu designed to make family dinners easier than ever. The menu includes easy to prepare recipes for larger groups, with meals appealing to both adults and children and at an attractive value.

Next is personalization. For years, Kroger has been at the forefront of using data and analytics, including artificial intelligence to build a better customer and associate experience. By applying our data and AI-based personalization, we can better understand what truly matters to our customers and deliver more targeted and effective experiences. As customers' digital engagement increases, we have new and more efficient channels to present the most relevant products and the right promotions at the right times, no matter where and how customers choose to shop with us.

As AI advances, we continue to work and constantly evaluate potential use cases throughout the business with privacy and responsible implementation in mind. For customers, we see opportunities to further simplify the digital experience and offer more accurate personalized recommendations. Our teams are working with search algorithms and generative AI to improve substitution accuracy and search results.

Within our 84.51 customer research team, we are already piloting several large language models to summarize customer database sets. By applying AI to customer surveys and customer service logs, our team can analyze and categorize them in minutes versus days before. This allows the business to react to customer feedback more quickly and accurately, and then reflect these learnings in the customer experience.

For our associates, we envision ways to further simplify work through advanced algorithms that optimize activities such as store orders. These, in turn, help reduce out of stocks, improve inventory management, and reduce expenses. Data is in our DNA. Our rich history as a technology leader gives us confidence that we will continue to effectively use AI, including more recent innovations. We also believe robust, accurate, and diverse first-party data is critical to maximizing the impact of innovation and data science, and AI. As a result, Kroger is well-positioned to successfully adopt these innovations and deliver a better customer and associate experience.

Now on seamless, growth in both our pickup and delivery businesses led to a strong quarter of digital sales growth. A significant rise in both households and transactions fueled this growth. Pickup remains an important part of our seamless ecosystem. During the quarter, our team's focus on associate training resulted in improvements in the customer experience. Pick-up net

promoter scores increased as we improved fill rates and reduced customer wait times. Obviously, something we're very proud of.

Seamless starts with our digital experience, which we built to be simple, convenient, regardless of how customers choose to shop with us. Whether our customers want immediacy of Kroger Delivery Now, or to place a large stock-up order through our customer fulfillment centers, the customer experience is the same. This shifts complexity from our customers to Kroger. Even customers shopping only in-store are beginning to -- their shopping trip through our mobile app or website by clipping coupons and creating shopping lists curated for their store. These growing interactions contributed to the 13% increase in digitally engaged households this quarter. We value this behavior as digitally engaged households are more loyal, spend nearly 3 times more with us, and help grow our alternative profit businesses like Kroger Precision Marketing.

Our associates continue to provide our customers with an outstanding full fresh and friendly experience -- better continuity on our teams and more engaged associates lead to a more consistent customer experience. And we are excited about the continued improvement in retention. This improvement reflects our focus on making Kroger a place where associates can come for a job and discover a career.

Kroger is committed to training our future leaders and made significant investments this quarter. We enhanced our career development framework, expanded our leadership development course catalog, and introduced company-wide development days. In the first quarter alone, our leaders engaged in more than 445,000 leadership development courses to strengthen their skills. We are excited for our associates' commitment to developing their careers with Kroger.

Our associates are driven by our purpose to feed the human spirit and Kroger's effort to build healthy communities are being recognized. This quarter, Kroger was selected as the 2023 SEAL Business Sustainability Awards winner in the environmental initiative category. We received this award in recognition for our progress in creating communities free from hunger and waste, which is a result of our team's collective efforts to more deeply integrate Zero Hunger, Zero Waste in our operations. We are incredibly appreciative of all of these efforts.

In closing, Kroger delivered a strong first quarter by focusing on delivering customers value through our seamless ecosystem. We are growing customer households and trips and our business remains well-positioned for the environment ahead.

With that, I'll turn it over to Gary to take you through our financial results. Gary?

Gary Millerchip {[BIO 20895856 <GO>](#)}

Thank you, Rodney, and good morning, everyone. Kroger's first quarter results clearly demonstrate the durability of our business in a more challenged operating environment. The investments we have made in our value creation model over recent years are paying off, allowing us to continue to deliver value for customers, invest in our associates, and create attractive returns for our shareholders. As Rodney shared earlier, we are driving increased customer engagement through our go-to-market strategy, which in turn is fueling our flywheel, including growth in alternative profit businesses.

I will now walk through how our execution of this strategy translated into solid first-quarter results. Identical sales without fuel is a key component of our growth model. During the quarter, we achieved identical sales without fuel of 3.5%. Underlying growth would have been 5%, after adjusting for the effect of the previously communicated decision to terminate our agreement with Express Scripts.

As expected, the terminated agreement also had a positive effect on our FIFO gross margin rate excluding fuel and a negative effect on the OG&A rate, excluding fuel and adjustment items. The overall effect of an operating profit during the first quarter was slightly positive and we would expect this to continue to be the case for the remainder of 2023. Our decision to terminate the agreement with Express Scripts reflects our commitment to making decisions that we believe are in the long-term best interests of our customers and shareholders.

Turning back to our identical sales without fuel growth in the quarter, these results were underpinned by key elements of our go-to-market strategy. Our brand sales grew 4.9%. Our Brands continue to be an important source of savings for our customers who are attracted to the unmatched quality and value they provide. At the same time, Our Brands helps drive stronger profitability, typically providing 600 basis points to 800 basis points higher margin compared to national brands.

Our merchandising team is doing an excellent job optimizing our portfolio of brands to drive improved penetration and margin performance. The launch of our new opening price point brand, Smart Way has enhanced overall brand architecture. And our relentless focus on continuous improvement and innovation is driving strong momentum across the portfolio. We expect this momentum will continue to deliver value for the remainder of 2023.

Digital sales grew 15% in the quarter. We saw 11% growth in Pickup and 30% growth in Delivery solutions, powered by our unique combination of CFCs and convenient store locations. Our net promoter scores continue to increase and CFC volumes are growing in line with expectations in 2023.

We are working closely with Ocado to make our CFCs even more efficient and productive. As a result of these joint efforts, our Monroe facility greatly improved the cost per order over the past quarter. And we're now in the process of applying these learnings across our other sites. As outlined at our business update back in March, we believe digital will continue to be an important growth driver and anticipate double-digit sales increases will continue for the remainder of 2023.

Gross margin was 22.3% of sales. Our FIFO gross margin rate, excluding fuel increased 21 basis points compared to the same quarter last year. Importantly, this increase in rate was achieved, while also investing in price to maintain a competitive price position and deliver greater value for our customers. The improvement was primarily attributable to strong Our Brands performance, sourcing benefits, lower supply chain costs, and the effect of our terminated agreement with Express Scripts, partially offset by higher shrink and increased promotional price investments.

As we've shared previously, our strategy to improve margin over time has many components, including utilizing technology to increase supply chain efficiency, improving fresh capabilities, expansion of Our Brands, improvements in digital profitability, and growth in retail media. The investments we have made over recent years to strengthen our business in these areas were reflected in our FIFO gross margin rate, excluding fuel this quarter. And we expect this trend to continue for the remainder of 2023.

During the quarter, we recorded a LIFO charge of \$99 million compared to a LIFO charge of \$93 million for the same period last year. Kroger's OG&A rate increased 14 basis points, excluding fuel and adjustment items, reflecting planned investments in associates and the effect of our terminated agreement with Express Scripts, partially offset by sales leverage and continued execution of cost-saving initiatives.

Associate investments are funded by removing costs from our business that do not impact the customer experience. This is an essential element of our go-to-market strategy and we are on

track to achieve our 6th consecutive year of \$1 billion in annual cost savings. Adjusted FIFO operating profit in the quarter -- in quarter one was \$1,669 million and our adjusted EPS was \$1.51. Both measures were up 4% compared to the same period last year.

I'll now walk through how the other key components of our value creation model contributed in the quarter and support our plans to deliver sustainable growth in the future. Our health and wellness team delivered results ahead of internal expectations during the quarter, including positive ID sales growth, despite the effect of the termination of our agreement with Express Scripts. This performance was led by strong underlying results in our retail pharmacy business.

Fuel is another important part of our strategy that drives customer loyalty and was a tailwind to profitability in quarter one. Fuel reward engagement remained high this quarter with a 19% increase in discounts redeemed compared to the first quarter last year. The average retail fuel price was \$3.55 this quarter, compared to \$4 in the same quarter last year, and our cents per gallon fuel margin was \$0.45 this quarter, versus \$0.42 in the same quarter last year.

Turning now to alternative profit businesses. The significant traffic and data created by our food, health, and fuel businesses continue to enable strong growth in alternative profits. Retail media is leading the way. And this quarter, KPM announced a new collaboration with Disney to bring its renowned targeting and measurement capabilities to Disney's portfolio of connected TV. Connected TV is one of the fastest growing areas of ad spend tripling in the last three years to \$20 billion and is expected to double again by 2027.

We are excited about the opportunities to accelerate KPM's future growth through this recent addition to the KPM ecosystem. KPM is also innovating in other areas, including in-store digital marketing. We recently announced a rollout of cooler screens in our stores. These innovative screens will replace traditional refrigerator and freezer doors with a digital overlay that will offer customers information on products, as well as KPM-curated advertisements. This will bring a differentiated shopping experience to our customers, while also creating another powerful marketing tool for KPM to offer to our brand partners.

Our first quarter results would not have been possible without our incredible associates, who are doing an outstanding job executing our strategy and delivering a great customer experience. Our go-to-market strategy is underpinned by our commitment to continue investing in our associates to ensure Kroger remains an employer of choice.

During the first quarter, we ratified new labor agreements with the UFCW for associates in Atlanta, Louisville and Cincinnati divisions, covering more than 51,000 associates. We also ratified a new agreement with the United Industrial Workers for our Columbus distribution center. We continue to negotiate contracts with the UFCW for associates in Smith, Utah Clarks and Meat, Dallas Clarks, Dallas Meat and Fries division.

Turning now to liquidity and free cash flow. Kroger continues to generate strong free cash flow. Our operating results combined with improvements in inventory and receivables led to a reduction in net debt of \$1.5 billion, compared to Q1 last year. As a result of improvements in working capital, we now expect adjusted free cash flow to be in the range of \$2.5 billion to \$2.7 billion for the fiscal year 2023.

At the end of the first quarter, Kroger's net total debt to adjusted EBITDA ratio was a record low of 1.34. This compares to our net total debt to adjusted EBITDA target ratio range of 2.3 to 2.5. The company expects to continue to pay its quarterly dividend and expects this to increase over time subject to Board approval. As a reminder, we have paused our share repurchase program to prioritize deleveraging following the proposed merger with Albertsons.

In closing, I'd like to share some additional color on our outlook for the remainder of the year. As Rodney mentioned earlier, inflation started to show signs of deceleration throughout the quarter, particularly in the fresh categories and ended the quarter approximately 400 basis points lower than the start of the year. We expect inflation will continue to decline as the year progresses and believe the environment will remain challenged for our customers as they deal with higher interest rates and an uncertain economic outlook. These were factors we anticipated when we issued our original guidance and the investments we have made over recent years to strengthen our value creation flywheel, give us the confidence to reaffirm our full-year guidance for identical sales without fuel and adjusted EPS.

Looking towards the balance of the year, we would expect identical sales without fuel to be at the low end of our guidance range of 1% to 2% for the remaining three quarters of 2023, reflecting continued slowing inflation, partially offset by underlying improvement in unit growth. Recall, this guidance includes the effect of Express Scripts, which is a headwind to identical sales without fuel of approximately 150 basis points.

We expect adjusted EPS to grow within our full-year guidance range of 2% to 5% in each of the remaining quarters, excluding an expected \$0.15 benefit from the 53rd week in the fourth quarter. We would expect Q2 adjusted EPS to be at the low end of our guidance range as we cycle unusually high fuel margins for the same quarter last year.

As you've heard from Rodney and myself this morning, Kroger is operating from a position of strength. While there remain macro uncertainties that could affect our operating environment across the remainder of 2023, we believe we have the right strategy and the flexible business model that continues to generate strong free cash flow. This will allow us to continue to deliver value for our customers, invest in our associates and create attractive returns for our shareholders.

I'll now turn the call back to Rodney.

Rodney McMullen {[BIO](#) [1431087](#) <GO>}

Thanks, Gary. Before we open the floor to your questions, let me provide a brief update on our pending merger with Albertsons Companies. Integration planning has progressed nicely, and I'm energized by the people and talent across both the Albertsons and Kroger teams. I'm even more confident in the opportunities ahead, as we accelerate our strategy and deliver more value for our associates, customers, communities, and shareholders.

We remain on track and continue to expect the transaction to close in early 2024. We are working cooperatively with the regulators and at the same time to identify potential buyers for the stores. We expect to divest to obtain clearance for the transaction.

We will find well-capitalized buyers with experienced management teams that will maintain competitiveness. We are very pleased with the level of interest received thus far and will work towards finding a solution that benefits all stakeholders. We continue to engage with various stakeholders in addition to the regulators and are actively working to address inaccuracies and misrepresentations about the merger.

We made a commitment on the day we announced the deal, that this merger is about growth and that we will not lay off any frontline work associates as a result of this merger. We are also committed to not closing any stores, distribution centers, or manufacturing facilities as a result of the merger. We're very proud of our ability to make such a commitment, especially at a time

when many companies are announcing job cuts. And this is consistent with Kroger's track record in recent mergers.

We remain incredibly excited about our future together with Albertsons. We are confident that as many of our stakeholders learn about Kroger's history of growth through mergers, they will understand the meaningful and measurable benefits this will have for our customers, associates, and communities. We are proud of the results our team delivered on navigating a challenged environment. We are focused on delivering lower prices and more choices to our customers than ever before.

Our value proposition is growing households and customer trips, which positions us well for long-term growth. We are confident that we have the right strategy. The strength of our value creation model positions us well to continue investing in our business, our customers, and our associates, which powers our ability to deliver attractive returns for our shareholders.

With that, Gary and I look forward to taking your questions.

Questions And Answers

Operator

Thank you. (Operator Instructions) Our first question for today comes from Chuck Cerankosky from Northcoast Research. Chuck, your line is now open. Please go ahead.

Q - Chuck Cerankosky {BIO 1505267 <GO>}

Good morning, everyone. Nice quarter.

A - Rodney McMullen {BIO 1431087 <GO>}

Good morning.

A - Gary Millerchip {BIO 20895856 <GO>}

Good morning.

Q - Chuck Cerankosky {BIO 1505267 <GO>}

You mentioned the increased amount of promotional activity that Kroger was in during the quarter. To what degree are the CPGs involved in that and how much of the -- how much of it is Kroger spending its own solid gross profit dollars to promote your own brands?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah, they are extremely engaged in that process. Obviously, we're targeting those based on each individual household and what's important to that household. If you look at items that are national brand items, it would be heavily financed by CPGs. We would see CPGs as supply chains have gotten much fuller products are starting to flow. We have started seeing CPGs more starting to worry about tonnage and supporting that. Obviously, with targeted promotions on our products, those are funded out of by Kroger and it would be a pure economics in terms of the increase in tonnage in the investments we're making. But overall, you know, it's we're pleased because it's helping people that's on a budget be able to stretch their money further, which is helpful. And we're able to do that at the same time while managing our margins as well.

Q - Chuck Cerankosky {BIO 1505267 <GO>}

And Rodney, when you go back to that 30% increase in delivered digital orders, could you put a dollar amount on that and how much of that 30% is coming out of the Ocado-related CFCs and spokes?

A - Rodney McMullen {BIO 1431087 <GO>}

The majority would be coming through their sheds. In terms of dollar numbers, I don't remember the specifics. I know the total overall, but I don't know the specifics, but the majority of that would be driven by the sheds. And as Gary mentioned, Ocado has -- we have a great partnership with Ocado and we're making good progress, especially on Monroe on ramping that facility up and now we're in the process of rolling those learnings out to the other sheds.

And Gary, anything you want to add?

A - Gary Millerchip {BIO 20895856 <GO>}

Yeah. I will add. Chuck is that as you may recall, we announced a couple of years ago that our digital business reached \$10 billion in total sales. So when you think about the 15% growth, it would be growth on one quarter of a number north of \$10 billion.

Q - Chuck Cerankosky {BIO 1505267 <GO>}

Got it. Thank you.

A - Rodney McMullen {BIO 1431087 <GO>}

Thanks, Chuck.

Operator

Thank you. Our next question comes from Simeon Gutman of Morgan Stanley. Your line is now open. Please go ahead.

Q - Simeon Gutman {BIO 7528320 <GO>}

Hey, good morning, everyone. My first question is also on the price investments and promotions. Good morning. So this isn't the first quarter you've talked about making price investments. It seems like it stepped up a bit, the tone is a little more elevated. And is that right? And it seems like that's in response to the competitive environment. I'm curious if it's something sustainable, you're seeing this as a one-time, you know, how should we read this? And is this a -- or is this a permanent change that you think will be persistent for the time being?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah. I wouldn't read it a little different than the way you asked the question, Simeon. If you look, it's really broad-based. But it's -- we continue to get better on using our own algorithms and AI to make sure that we're offering promotions that are most attractive to customers by households. So some of that increased engagement is being able to do a better job targeting. As I mentioned to Chuck on the CPGs, a significant portion of that is funded by CPGs, which we think it's good for our customers and obviously good for tonnage over time.

In terms of talking about it more, I would say, it's more in terms of trying to share what's really going on behind the numbers to the best of our ability. So I wouldn't say that we're talking about it more. I would completely agree that more customers are engaging in those promotions than before. And some of that is because of the economic environment, some of it's because of the targeting algorithm.

A - Gary Millerchip {[BIO 20895856 <GO>](#)}

I think maybe it ties a little bit as well to Rodney's comment earlier around the different customer segments and how they're changing behavior in the current environment. So I mean, we mentioned earlier in the prepared remarks, we're seeing the mainstream customer, and then the higher income customer. In many cases, they're engaging more in fresh products, engaging more in brands like Private Selection. We saw Private Selection outperformed our overall sales growth during the quarter.

So there are certain customers that were certainly using our personalization to target to drive greater loyalty, greater engagement, and then that customer that we clearly see on a very constrained budget and have been impacted by the lower number of SNAP dollars in the market, really focusing our marketing effort to ensure that we're personalizing offers to resonate with those customers and help them manage their budgets more effectively.

Q - Simeon Gutman {[BIO 7528320 <GO>](#)}

And maybe, related follow up, you were talking about how inflation is pressuring the wallet. You mentioned that we're seeing some price come down. You mentioned fresh food in some places. I mean, at what point -- first, what is the elasticity? Are you seeing any pickup in volume and in prices? Or in categories in which prices are going down? Or is it just too much weight on the consumer wallet right now? And at what point do you expect that intersection when inflation comes down enough, you'll start to see a pick back up in unit or even trading back up?

A - Rodney McMullen {[BIO 1431087 <GO>](#)}

If you look historically, as the context that you mentioned, as inflation gets lower, you do see tonnage increases. We would expect as you look over the balance of the year, that would be -- would happen as -- again. I would say we're too early in the process to really be able to say specifically. We are seeing trend improvements in market share in some of those aspects and very good share gain in mainstream and less price-sensitive shoppers. So it really is a bifurcation where certain customers are behaving as if the economy -- the way the economy has always been. The customers that are on a budget, under SNAP, you know, there's a significant reduction in SNAP dollars in the marketplace. And they are making significant modifications, including before maybe buying something that was a unit of 12. And now they'll buy a unit of 4. They're coming more frequent, but buying less each trip and things like that.

So we would expect, as you look over the balance of the year, tonnage would improve as inflation continues to decline on a year-on-year basis. But I always think it's important to remember that inflation is cycling high inflation, which usually causes inflation increases to be less moderate. And as we look out to the balance of the year, we would still expect to have inflation. It's just less than what it's been in the last couple of years or 1.5 years.

Q - Simeon Gutman {[BIO 7528320 <GO>](#)}

Okay. Thanks, guys. Good quarter.

A - Rodney McMullen {BIO 1431087 <GO>}

Thanks, Simeon. Thanks.

Operator

Thank you. Our next question comes from Michael Lasser of UBS. Michael, your line is now open. Please go ahead.

Q - Michael Lasser {BIO 7266130 <GO>}

Good morning. Thanks a lot for taking my question. Given your updated (Multiple Speakers)

A - Rodney McMullen {BIO 1431087 <GO>}

Good morning.

Q - Michael Lasser {BIO 7266130 <GO>}

Updated expectation for IDs to be at the lower end of your full-year comp guidance, does that imply that you do expect IDs to be negative in the back half of the year? And what has changed within the updated expectation, especially within the grocery business? Because you did say that the pharmacy business, despite the loss of Express Scripts is doing well. So presumably, you're fulfilling a lot of GLP-1 prescriptions and that's supporting the overall IDs. And so, grocery is getting worse than what you had originally thought.

A - Gary Millerchip {BIO 20895856 <GO>}

Yeah. Thanks for the question, Michael. I think you may have misunderstood what I mentioned in the prepared remarks. What we were saying was that we would expect the identical sales for the final three quarters of the year to be at the low end of our range. And that's essentially what we would have contemplated within our original guidance. That still supports the 1% to 2%, excluding Express Scripts, or 2.5% to 3.5% including Express Scripts. So what I was really calling out was the - - trying to give you some specific sort of understanding of how we're thinking about those final three quarters of the year and what they may look like. But we're not -- certainly not indicating that we expect the full year -- we won't intend to signal the full year would be at the bottom end of that range. It was really specific to the final three quarters.

Q - Michael Lasser {BIO 7266130 <GO>}

And you expect each one of those quarters to be positive? And does that embed the expectation that tonnage has to be positive?

A - Gary Millerchip {BIO 20895856 <GO>}

We would expect the identical sales to be positive in each of the final three quarters. And we would be assuming on inflation, that inflation continues to decline as the year progresses and end the year at low single-digit inflation back to sort of more normalized levels. We've seen really the Fresh departments start to reach that point, but the grocery department has started to decline but will still be at elevated levels. So I think it really ties back to Rodney's comments. Certainly, we would expect to see a continued improvement in unit trajectory to offset some of the decelerating inflation. And I'd say we've seen a little bit of that during the first quarter, because our ID sales didn't decelerate at the same rate as inflation decelerated during the quarter.

Q - Michael Lasser {BIO 7266130 <GO>}

Okay. And my follow-up question is the perception is that Kroger might be losing a little bit of share, at least within certain customer segments, given that Walmart is doing double-digit grocery sales increases. And the point that you made is a lot of the price investments or promotional investments that are -- Kroger is being made this year are being funded by the CPGs. How far is Kroger willing to use its own P&L to fund further investments to confront maybe some market share losses to more price-leading players in the marketplace?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah. Michael, as I mentioned before, if you look at different customer segments, customer segments are mainstream and upscale customers. We continue to have strong household growth and strong market share growth with those customers. The ones that we would not be as happy with is, our price-sensitive shoppers on a budget. One of the things that we've done a lot of analysis on.

If you look at our total go-to-market value, when you look at our price plus looking at our promotional activity and the way people shop our ads, our rewards programs are what we used to call them loyal customer mailings, but now they're mostly online. So -- but personalized offers for each household. Our total value equation is extremely close to what the EDLP merchants would be, we just go to market in a different way.

Obviously, the customers that are on a budget, that customer is more focused on this week's shopping. And you'll see us continuing to make modifications to make sure that we're able to help achieve and go support their weekly budget. Some of that will be impact product sizes and other things. It's not just price alone. As you know, we introduced our brand called Smart Way, that's really focused on that entry price point as well. So there's a lot of things that's within it well beyond just price itself. And we've always been very personalized with pricing in terms of doing things for each household individually.

Thanks, Michael, for the question.

Q - Michael Lasser {BIO 7266130 <GO>}

Thank you very much.

Operator

Thank you. Our next question comes from Robert Ohmes of Bank of America. Robert, your line is now open. Please go ahead.

Q - Robert Ohmes {BIO 1541955 <GO>}

Hey, good morning. I think my first question is maybe for Gary. Can you speak a little more about what the FIFO gross margin assumptions ex-fuel, how you're thinking about the puts and takes at least for FIFO gross margin ex-fuel for the next three quarters? Just obviously, just broad breaststrokes, but like maybe some things we should think about in terms of investing in price versus in more promotions and shrink versus what would be offsets to that in gross margin?

A - Gary Millerchip {BIO 20895856 <GO>}

Sure. Good morning, Robby. I think as you know, we don't generally give specific guidance by line in the P&L. But I do think if you look at what happened in quarter one, we would see that as a very

good proxy for how we think about the rest of the year. From an investment point of view, as Rodney mentioned, continuing to make sure we're delivering value for customers and remaining highly competitive as customers are managing inflation and the interest rate environment.

We do think that shrink will continue to be somewhat of a headwind. It's really in the center of the store. I would say that, we -- the team is doing a fantastic job in managing Fresh shrink, but there are a lot of structural challenges right now in center store shrink as you've heard, I think, from a number of different retailers in the marketplace. So those would be the two big investments that we'd be fully contemplating for the rest of the year.

And then really the tailwinds are the pieces that we called out in our communication this morning around our Q1 results. And it's really a combination of many of the different plans coming together that we've talked about at our investor meetings over the last couple of years. First of all, Our Brands is performing really well as we continue to drive sales growth, mix improvements and improve the innovation and new products in that area, sourcing benefits and continuing to manage cost and product design really closely.

As you heard us mention, we did see Express Scripts as a tailwind to gross margin during the first quarter, that will continue through the rest of the year. Although to some extent, the GLP-1 product sales offset a meaningful part of that. So it's not necessary that health and wellness is a major driver of the gross margin rate, but certainly, Express Scripts has an impact.

We're seeing strong performance in supply chain in the first quarter, and we believe that's sustainable as well for the rest of the year. And then, of course, alternative profits, as you know, we continue to grow at double-digit rate on our alternative profit business. And as we continue to improve the -- optimizing the KPM business and growing Kroger Personal Finance, we would expect alternative profits to be a continued tailwind to the model. So all in all, I think the best way I think to characterize it would be to look at the different pieces that we shared for Q1. And we would expect similar kind of impacts and drivers in the rest of the year as you think about gross margin rate.

Q - Robert Ohmes {[BIO 1541955](#) <GO>}

Got you. So net basis up FIFO gross margin ex-fuel maybe similarly to the way it was up in the first quarter?

A - Gary Millerchip {[BIO 20895856](#) <GO>}

Yeah. Obviously, there's always kind of puts and takes at different times of the year and we're very focused on balancing the model. But directionally, I think you're interpreting correctly, that's right.

Q - Robert Ohmes {[BIO 1541955](#) <GO>}

Got you. That's helpful. And just a quick follow-up in Our Brands. The -- do you think Our Brands penetration accelerates from here? And also the -- it sounds like you're being more promotional in Our Brands. So does the margin benefit from Our Brands penetration stay the same? Or as you -- or is it sort of -- as you promote it more, it has less benefit to gross margin, or is it you're still going to net ahead because you're driving more volume?

A - Rodney McMullen {[BIO 1431087](#) <GO>}

Yeah. When you look at Our Brands, the margins are typically 600 basis points to 800 basis points better on Our Brands than national brands. It would have been actually at the high side of

that this quarter. If you look within it, and Gary and I both mentioned it briefly, but if you look at Private Selection in some of those parts of Our Brands grew even faster, which are extremely unique products that customers, what we find, is they love the uniqueness and the quality of it. So it's really the whole mix.

So Smart Way obviously has a lower margin. But when you look at all the pieces together, we feel good about where we are. We would expect it to continue to be margin accretive for the balance of the year as well. And then also, we're continuing to leverage our own manufacturing plants in many places, too, which is helpful.

A - Gary Millerchip {BIO 20895856 <GO>}

And Robby, just to the first part of your question on what we expect in terms of growth in Our Brands, I think we don't target specific growth for Our Brands, because we really do use our customer-led approach on that data and what the customer is looking for really drive where the growth comes from in the business.

Having said that, typically during a more challenged economic environment, Rodney mentioned in his prepared comments as well, we do see more customers engage with Our Brands products and as they start to see the quality and the value, often, we find there's a sort of a higher penetration level that occurs during that time. And typically, it stays at a more elevated level even after the economic challenges have dissipated. So we're not targeting a specific number, but we do expect that customers will continue to resonate with those products and continue to engage with them at a high level.

Q - Robert Ohmes {BIO 1541955 <GO>}

Great. Thanks so much to you, both.

Operator

Thank you. Our next question comes from Ed Kelly of Wells Fargo. Ed, your line is now open. Please go ahead.

Q - Ed Kelly {BIO 21274619 <GO>}

Yeah. Hi, guys. Good morning.

A - Rodney McMullen {BIO 1431087 <GO>}

Good morning.

A - Gary Millerchip {BIO 20895856 <GO>}

Good morning.

Q - Ed Kelly {BIO 21274619 <GO>}

(Multiple Speakers) I got a follow-up to that Michael had. I was hoping that you could quantify the benefit that the GLP-1 drugs are providing to the ID. I mean, it seems material, because your pharmacy business is up despite losing a decent chunk of that through the Express issue. And then what are you seeing related to the attachment on the Express Scripts business, meaning the impact to in-store from those scripts exiting?

A - Rodney McMullen {BIO 1431087 <GO>}

If you look at the second part of your question, it would be extremely modest. It's single-digit basis points, which I never -- it's so low that I'm not comfortable that it's the data is that precise. So it's -- our team has done a great job. I think one of the things that's important to remind people is our pharmacy team has done an incredible job of helping people identify other ways of getting those prescriptions filled through alternative networks and discount cards and other things. And that has been a huge positive in retaining a huge percentage of those ESI customers, which obviously flow through, too.

So -- it's not like you just lose all of that business. And what we're finding is, in over half of the case is that we're actually able to save the customer money versus what they were paying before with ESI. So it's worked out. Our teams have done an incredibly great job. Obviously, it's a lot of hard work. On terms of the other drug, the margins on that is extremely small in terms of its -- the sales dollars are a lot bigger than the margin dollars. The margin is basically almost no impact.

I don't know, Gary, anything you'd want to add to either one of those?

A - Gary Millerchip {BIO 20895856 <GO>}

No, I'm good.

A - Rodney McMullen {BIO 1431087 <GO>}

Okay. Thanks, Ed.

Operator

Thank you. Our next question comes from John Heinbockel of Guggenheim Partners. John, your line is now open. Please go ahead.

Q - John Heinbockel {BIO 1508150 <GO>}

Hey, guys. I want to drill down on the segments, right? So mainstream, is that about 60% of your business in that ballpark? And then if you look at how that segment and maybe the upper income are performing is more of the growth transactions, like I imagine would be versus items per basket. And then just lastly, right, on the budget guys, is that -- are they comping negative, right? Or they're just not growing as fast as the other two?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah. If you look at our mainstream, it would be a little bit more than the percentage you suggested. And our upscale customer -- if you look at percentages, the upscale and value customer is about the same. But if you look at the profitability, the upscale customer is a lot more profitable than the value customer. We would see a very nice positive in the upscale, strong positive in the mainstream and the negative in the value customer. But if you look at in total, as I mentioned, we had positive household growth in total.

Q - John Heinbockel {BIO 1508150 <GO>}

Okay. And then maybe one quick follow-up. The -- I know you guys do a lot of survey work, right? So you talked about the work you've done on value proposition versus EDLP. Is that something that -- or if you do, that is understood and perceived by customers or not? Perception is not caught up with reality.

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah, it's a great question, John. And what we find is, certain customer segments understand it really well. Other customer segments understand it, but if you only have so much money to spend, you really don't have the ability to stock up on something. So customers that are more mainstream and upscale, they love. They would tell us that they feel like they're beating the system by fuel rewards offers that are personalized to them. They buy -- instead of buying one of something, they buy five of it, so they stock up at a great price. So they very much understand the way we go to market. More the customer on a budget and what we're finding is the customer may understand it, but their budget is such that they don't really have the money to stock up. And that's the reason why we introduced Smart Way and some of the other things that we've been doing.

Q - John Heinbockel {BIO 1508150 <GO>}

Okay, thank you.

A - Rodney McMullen {BIO 1431087 <GO>}

Thanks, John.

Operator

Thank you. Our next question comes from Kenneth Goldman of J.P. Morgan. Kenneth, your line is now open. Please go ahead.

Q - Kenneth Goldman {BIO 3212413 <GO>}

Hi, thank you. One of the reasons there's some anxiety among investors about the whole industry is that deflation, I guess, evokes memories of 2016, '17, '18 when ID slowed, but also gross margins ex-fuel struggled not just for you, but for others. And so, it's great to see that this past quarter, right, deflation, or disinflation rather, didn't correspond with that kind of decline. Gross margin was up. But I think I'm curious, what's different this time that gives you confidence in your ability to kind of maintain profitability and margins into this disinflationary environment? And I know last time was deflation and you're not calling for that, so maybe that's the answer. But is there also an element that the competitive environment just isn't as intense now as it was back then? I'm just trying to get your sense of how different it is to be a grocer now than it was back then and how the world has changed in terms of competition?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah. I guess, I would always hesitate to ever say that it's not as competitive because when you're in the middle of it, it feels massively competitive every day. And I guess I don't look at that as a negative, because at the end of the day, the customer gets a better experience and a better value. And it's our job to figure out a way to grow our business and create value for all the important groups in terms of being able to invest in wages and giving a great value for customers and then creating good value for shareholders as well.

And that combination, like for us, it's one of the reasons why we think it's so important to continue to look for process changes and other things to get cost out of the business, and we will achieve -- we expect to achieve over \$1 billion of cost reductions this year, and that will be the 6th consecutive year that we've done that.

If you look at our importance of our alternative profit business and growing that and other elements and the growth in terms of more prepared type products and products that have value-add items, those are things, for us, that give us confidence in the long-term sustainability of our model and gives us the capacity to continue to invest in wages and continuing to invest in great value for customers.

So it's really the total ecosystem that we're focused on. I feel much better about our total ecosystem today than 2016, but I feel comfortable that in three years or four years, we'll say the same thing then versus today, because we'll continue to get better and better. And our customers get the benefit of that, our associates get the benefit of that.

Gary, it looks like you want to say something.

A - Gary Millerchip {[BIO 20895856](#) <GO>}

Well, just one thing I would add, Rodney, I think you said it really well around, we've obviously built, I think, a more diverse business model now when you think about alternative profits and the size of fuel and health and wellness alongside the core supermarket business. The only other thing I would add, Ken, is I do think through COVID and I've mentioned this on previous calls, but just the percentage of customers that now start their shopping online, whether it's up through a tablet, through their phone, through a PC, it does give you significantly greater ability to personalize the value to the customer. So I think you can channel the investments in a far more effective way than you could have done, for example, five years to eight years ago. And obviously, we feel we're in a very good spot to be able to do that most effectively, because of the power of our 84.51 data science business and how they can truly use customer information to help save money and save time for the customer.

Q - Kenneth Goldman {[BIO 3212413](#) <GO>}

Great. Thank you.

A - Rodney McMullen {[BIO 1431087](#) <GO>}

Thanks, Ken.

Operator

Thank you. Our next question comes from Kelly Bania from BMO. Kelly, your line is now open. Please go ahead.

Q - Kelly Bania {[BIO 16685675](#) <GO>}

Hi, good morning. Thanks for fitting us in.

A - Rodney McMullen {[BIO 1431087](#) <GO>}

Good morning.

Q - Kelly Bania {[BIO 16685675](#) <GO>}

I apologize, if I missed this. Good morning. But just wanted to maybe unpack just the magnitude of this, the health and wellness outside of the Express Scripts. That sounds like it's coming in line, but the GLP-1 impact on just the total comp and the total transactions for the quarter. And what is in the plan for the rest of this year at this point? Are you planning on this kind of health and wellness momentum to continue through the rest of the year?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah. As I mentioned before, the impact on sales is a lot more than margin. The margin on that product is very marginal. The thing that I think our teams have done a great job on and they've actually delivered is the number of customers or patients that we've been able to retain that had ESI and through the discount cards and other things that we've been able to retain those. If you look at for the balance of the year, we would expect the GLP-1 type drugs to continue. But remember, the impact on profitability is pretty narrow.

I don't know, Gary, anything you want to add to that?

A - Gary Millerchip {BIO 20895856 <GO>}

I think you said it well, Rodney. Certainly, for us, Kelly, because of the PBM change, it may not have been as dramatic for us as some others have shared, but it certainly would have been a tailwind during the quarter on sales, as Rodney mentioned. But really if you look at the gross margin impact, it eliminated much of the benefit in gross margin rate that we saw from Express Scripts.

Q - Kelly Bania {BIO 16685675 <GO>}

That's helpful. I guess just maybe one more follow-up. In terms of the budget-conscious consumers that you talked about and the comment that they're really prioritizing shelf prices, can you just elaborate on what's happening there? Are they not valuing the total rewards and the personalization and everything that you can offer your consumer? Does that make you think about communicating with them in a different way, your value, or changing your strategy and how you connect with that customer segment?

A - Rodney McMullen {BIO 1431087 <GO>}

Yeah, we would certainly be modifying the way we connect with that customer. And if you go back a few months ago, that's the reason we introduced Smart Way and we continue to expand that. We're -- the focus of that brand is more of an everyday price position will promote it, but not as aggressive as other things. We've also focused a lot in terms of making sure that we have entry price point items for that customer on things that are most important to them. And those are things where we are modifying how we merchandise in a store and some of the products we offer to that customer, and we're leveraging our own plants as well for that customer. Thanks, Kelly.

Operator

Thank you. Our final question for today comes from Rupesh Parikh from Oppenheimer. Rupesh, your line is now open. Please go ahead.

Q - Rupesh Parikh {BIO 15915617 <GO>}

Good morning, and thanks for taking my question. So I just wanted to go to the promotional backdrop.

A - Rodney McMullen {BIO 1431087 <GO>}

Good morning.

Q - Rupesh Parikh {BIO 15915617 <GO>}

Just curious on the promotional backdrop, what you guys are seeing today, expectations for the remainder of the year. And as supply is improving, I'm guessing there is also normalization where CPG players would just be more promotional and fund more promotions. Just wanted to get a sense as to what may be normalization and then what could just be driven by a more competitive backdrop.

A - Rodney McMullen {[BIO 1431087 <GO>](#)}

Yeah. From my perspective and Gary, if you disagree, just say so, but I think it's much more supply-driven and access to supply. And I say that because there are still a few categories that are constrained and you don't see as much. But the CPG companies, the supply chain in most categories are back to normal. I think there's probably three or four areas that it's not. And it's more in terms of how things were before COVID. So people are coming to you with offers. We're looking at those promotional offers in terms of how customers react to them. And it's really, I would say, back the way it was before COVID in terms of probably, by far, the majority of it is that as opposed to just being a more promotional environment.

Q - Rupesh Parikh {[BIO 15915617 <GO>](#)}

Great. That's helpful color. And just on quarter-to-date trends, I'm not sure if there's any commentary you can provide in terms of what you guys are seeing quarter-to-date?

A - Rodney McMullen {[BIO 1431087 <GO>](#)}

Yeah. Quarter-to-date, IDs would be kind of in the middle part of the range that Gary talked about in terms of identical. So that's where we're tracking so far.

Q - Rupesh Parikh {[BIO 15915617 <GO>](#)}

Thank you. I'll pass it along.

A - Rodney McMullen {[BIO 1431087 <GO>](#)}

Thanks, Rupesh. Appreciate it. Thank you all for the questions today. And as always, before we close, I'd like to share a few comments directly with our associates listening in. In May, we celebrated Kroger's longest-serving associate, Mary Tennant, who has worked at our Moundsville, West Virginia store for 65 years. Mary, at 85 years young, loves her fellow associates and our customers, and she plans to keep working at our store. And if you have a chance to watch Mary's video, you'll understand why I said 85 years young. We can all aspire to have that attitude and that chippiness and fondness at that age. Mary is a great example of coming to Kroger for a job and discovering a career. And she's worked in almost every role at her store. Congratulations and thank you, Mary, on this impressive milestone and your recent birthday. We are so happy you picked Kroger to build your career with us.

I hope everyone has a fantastic summer, and thank you for joining us today. That concludes the call.

Operator

Thank you all for joining today's call. You may now disconnect your lines.

A - Rodney McMullen {[BIO 1431087 <GO>](#)}

That concludes the call.

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